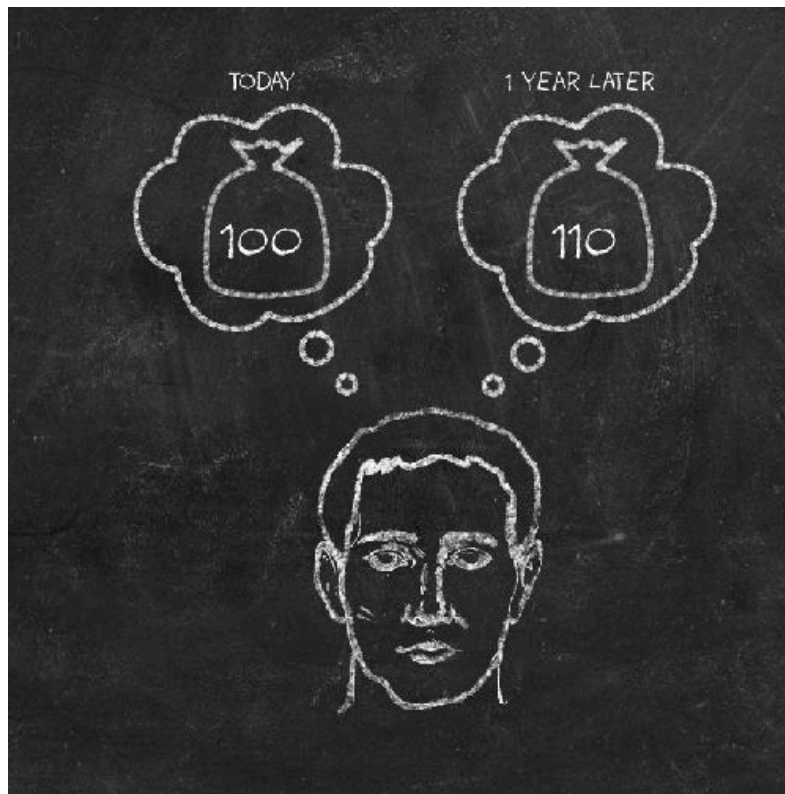


Time and discounting



Economic decisions are not just about whether to buy, but *when* to. If I am impatient, I may borrow money to buy a television today. If I am patient, however, I will wait until I have earned the money myself. Economists call people's level of impatience their time preference. Although some are more patient than others, in general people prefer a television today to a television in a month. People are said to 'discount' the future.

People who discount at a high rate are likely to save less, and consume more today. This is related to the idea of an interest rate. £100 in a year's time is viewed as worth less than £100 today, so if I lend someone £100, I will ask for more than £100 to be returned to me in a year. If I expect to receive £100 in one year, then I would want to know the 'present value' of this amount. This would be the amount that I would have to lend out

at interest today to be paid back £100 in a year, and would be less than £100.